

**Federal Supply Schedule (FSS) Sole
Source Justification (SSJ)**

"Source Selection Information – see RFO 2.101 and 3.104"

1. Identification of the agency and contracting activity.

a. Federal agency and contracting activity.

Department of Health and Human Services (HHS)
National Institutes of Health (NIH)
Office of Acquisitions (OA)

b. Sponsoring organization.

National Institutes of Health (NIH)
National Human Genome Research Institute (NHGRI)
Information Technology Branch (ITB)

c. Project Officer information.

[REDACTED]
National Human Genome Research Institute
National Institutes of Health
[REDACTED]

2. Nature and/or description of the action being approved, including a description of the supplies or services required to meet the agency's needs.

a. Acquisition purpose and objectives.

The purpose of this contract action is to acquire IT Systems Security Services that will allow the continuation of essential daily security operations that align directly with NHGRI's mission under statutory law 42 U.S.C. 285, and adherence to the Federal Information Security Modernization Act of 2014 (FISMA 2014), which requires robust information security measures to protect the integrity and confidentiality of sensitive research data. The objective is to issue a one-year bridge contract with the incumbent contractor, Richard Carson and Associates, Inc., which will allow NHGRI to avoid a lapse in security services in meeting mission-critical objectives by limiting sources.

b. Project background.

Information security is a strategic enabler of the NIH mission. The NIH relies on information systems that operate continuously, maintain a high degree of scientific and financial integrity, and ensure information is protected from inappropriate disclosure. The NIH Information Security Program takes a risk-based approach to information security. There are ongoing efforts to balance the risk to the NIH networks, computers, data, patients, and staff, while supporting the biomedical research mission. The NIH Information Security Program focuses on three key areas: reduce high risks, improve visibility, and strengthen protections. These rely on a foundation of IT management best practices, including configuration management, patch management, system administration, operations management, and change management. The NIH works in

partnership with the Institutes and Centers to maintain a robust NIH Information Security Program.

To participate and be successful in the NIH Information Security Program, the National Human Genome Research Institute (NHGRI) requires manpower and expertise to assist the Information Systems Security Officer (ISSO) in the form of IT security documentation services support, security program management support, comprehensive Security Assessment and Authorization (SA&A) analysis, preparation and management support, incident response support, continuous diagnostics and mitigation (CDM) support, and other related IT security services. The current contract number is GS-35F-274DA / 75N92021F00134 with a period of performance from April 13, 2021, and ending on April 12, 2026 and was awarded using full and open competition.

3. Description of the supplies or services required to meet the agency's needs (including the estimated value).

a. Project title.

NHGRI IT Systems Security Services (ITSSS)

b. Project description.

This contract action is for IT Systems Security Services and requires the contractor to provide manpower and expertise to assist the NHGRI ISSO in the form of IT security documentation services support, security program management support, comprehensive Security Assessment and Authorization (SA&A) analysis, preparation and management support, incident response support, continuous diagnostics and mitigation (CDM) support, and other related IT security services.

• **Requirement type.**

- ☐ Research & development (R&D)
- ☐ R & D support services
- ☐ Support services (non-R&D)
- ☐ Supplies/equipment
- ☒ Information technology (IT)
- ☐ Construction
- ☐ Architect-engineer (A & E) services
- ☐ Design-build
- ☐ Other (specify): _____

• **Type of action.**

- ☐ New requirement
- ☒ Follow-on to the same services provided under Contract GS-35F-274DA / 75N92021F00134
- ☐ Other (specify): _____

• **Proposed contract/order type.**

- ☒ Firm-fixed-price

- ☐ Other fixed-price (specify, e.g., fixed-price award-fee, fixed-price incentive-fee): _____
- ☐ Cost-plus-fixed-fee
- ☐ Other cost reimbursement (specify, e.g., cost-plus-award-fee, cost-plus-incentive-fee): _____
- ☒ Time and materials
- ☐ Indefinite delivery (specify whether indefinite quantity, definite quantity, or requirements): _____
- ☐ Other (specify): _____

- **Acquisition identification number.** The Contracting Officer will identify a new solicitation and award number.

Total estimated dollar value and performance/delivery period. The Independent Government Cost Estimate (IGCE) is for a period of performance of 12 months (April 13, 2026 – April 12, 2027); [REDACTED]

4. Authority and supporting rationale (see GSAR 538.7104-3(b)(1)) and, if applicable, a demonstration of the proposed contractor's unique qualifications to provide the required supply or service, Identification of the statutory authority permitting other than full and open competition.

a. Acquisition Authority

- ☒ This acquisition is conducted under the authority of the Multiple Award Schedule Program. Consideration of schedule contractors will be restricted to fewer than the number required by GSAR 538.7103-3, as follows:

☐ **GSAR 538.7104-3(b)(i)**, need is of such unusual urgency that following the procedures would result in unacceptable delays in fulfilling that need.

☐ **GSAR 538.7104-3(b)(ii)**, only one source is capable of providing the products, services, or solution required at the level of quality required because the products, services, or solutions are unique or highly specialized.

☒ **GSAR 538.7104-3(b)(iii)**, The order should be issued on a sole source basis in the interest of economy and efficiency because it is a logical follow-on to an FSS order already issued on a competitive basis.

The 12-month bridge contract is being sought to provide NHGRI leadership the time required to decide right-sizing the ITSSS based on the IT consolidation at NIH level. NIH Leadership is pursuing IT consolidation in support of HHS' announced major restructuring on March 27, 2025, in accordance with President Trump's Feb. 11, 2025, Executive Order (EO), *"Implementing the President's 'Department of Government Efficiency' Workforce Optimization Initiative"*. The plan

aims to save \$1.8 billion annually by reducing the workforce from 82,000 to 62,000, and centralizing IT, HR, and procurement functions. Careful consideration of the implementation of this EO is underway, and a Tiger Team has been formed to address all issues and impacts. This is currently a top priority but requires careful planning, hence, the necessity for the requested bridge contract.

A delay or lapse in service would significantly impact NHGRI ISSO's ability to participate in NIH InfoSec initiatives like ICAM modernization, Intune adoption, NIH Enterprise Logging Warehouse, etc., meant to enhance the security of NIH systems and data. Other activities at risk of being delayed or suspended include Continuous Diagnostics and Mitigation (CDM), Incident Response and Recovery (IRR), and Security Assessment and Authorization (SA&A). The SA&A is the process that produces Security Impact Analyses (SIAs) and the Authorization to Operate (ATO) for scientific systems and a delay or lapse in this service would negatively impact the NHGRI mission as systems could not be launched in production without them.

NIH's IT Leadership has been building an IT roadmap that will consolidate some NIH ICOs' IT Security services under CIT and OCIO. Leadership is actively strategizing the final NIH IT environment, and this consideration will directly impact the NHGRI requirement. Pending business case reviews, senior leadership is expected to finalize its IT consolidation strategy by the end of the Summer 2026. Depending on the course of action selected by leadership, there will be a short window of time for planning for potential recompeting this contract before the end of this bridge.

Once a strategy is selected, it is estimated that 4 months will be required to conduct acquisition planning, recompile, and select the contractor for the NHGRI ITSSS requirement. A transition period of 2 months must also be considered to allow system knowledge transfer, access provisioning, and process integration between the current contractor and the new one. A rushed or poor transition could disrupt operations and introduce security risks, which would have an impact on the NHGRI mission. There is also a risk that Leadership's IT Consolidation strategy might be delayed into the fall and then the NHGRI ITSSS recompile timeframe would be even shorter.

The 12-Month bridge contract is needed to allow sufficient time for the following actions:

- 1) NIH's IT Leadership finalizes consolidation strategy (5-months) - **September 2026**
- 2) Conduct acquisition planning, source selection, and recompile the NHGRI ITSSS requirement (4-months) - **January 2026**
- 3) Transition period (2-months) - **March 2026**

These actions could take longer than estimated, due to evolving policy and acquisition environments. Conducting a competitive procurement at this time would require the Government to solicit offerors using requirements that are not yet fully defined due to ongoing NIH IT consolidation. This creates risk that the resultant contract will not align with the Government's actual needs. Awarding a long-term contract under these conditions may result in avoidable scope reductions, non-exercise of options, or contract terminations, which would increase costs and introduce security risks.

There are also reputational risks, if the institute has a breach due to the fact that they were not able to address certain vulnerabilities or missed stuff for being understaffed, as a result of a lapse in services.

☐ **GSAR 538.7104-3(b)(v)**, necessary to place the order with a particular FSS contractor to satisfy a minimum guarantee established in the FSS BPA.

☐ **GSAR 538.7104-3(b)(v)**, law expressly authorizes or requires that the purchase be made from a specified source.

☐ This acquisition is conducted under the authority of the Multiple Award Schedule Program. Consideration of schedule contractors will be restricted only to the item peculiar to one manufacturer as provided in **GSAR 538.7104-4 Items peculiar to one manufacturer**.

b. Demonstration that the proposed contractor(s) unique qualifications or the nature of the acquisition requires use of the authority cited.

- **Name and address of the proposed contractor(s).**

Richard S. Carson & Associates, Inc.

[REDACTED]
[REDACTED]

- **Nature of the acquisition or proposed unique qualifications of the contractor(s).**

As stated above, the nature of the acquisition requires use of the authority cited: GSAR 538.7104-3(b)(iii). The acquisition is a one-year bridge contract issued on a sole source basis to the incumbent contractor, Richard S. Carson & Associates, Inc., in the interest of efficiency because it is a logical follow-on to GS-35F-274DA / 75N92021F00134, an FSS order already issued on a competitive basis. These follow-on services will allow NHGRI sufficient time to define its requirement pending the outcome of NIH's IT Leadership and provide time needed to properly recomplete the contract and prevent incurring a lapse of security services or failing to meet mission-critical objectives or making an award using unrefined requirements.

The risk exposures for any lapse may result in reduced coverage (limited to ISSO leadership during business hours) increasing the likelihood of delayed response to vulnerabilities. A resulting incident (e.g., breach or ransomware) could cost approximately \$2.6M based on government averages, including response, recovery, legal, and notification expenses.

5. **Determination by the Contracting Officer that the order represents a fair and reasonable price consistent with GSAR 538.7102-2(d)(2) and 538.7104-2(a)(3).**

In accordance with GSAR 538.7102-2(d)(2), GSA has determined FSS/MAS pricing to be fair and reasonable at the contract level. Therefore, while the Agency is not required to make a fair and reasonable price determination for fixed-price services and hourly labor rates under the contractor's GSA Multiple Award Schedule (MAS) contract, the Contracting Officer will perform a comparative assessment to ensure that the quoted prices align with the GSA contractor's fair and reasonable MAS contract rates. In addition, consistent with GSAR 538.7102-2(c)(2), the Contracting Officer plans to seek any available discounts prior to award. The basis of estimate for this bridge action was established using the current contract, which was awarded competitively.

6. **Description of the market research conducted among schedule holders and the results, or a statement of the reasons market research was not conducted.**

NHGRI conducted market research, appropriate to the circumstances of issuing a 12-month sole source bridge contract under the efficiency/logical follow-on authority. Specifically, market research was conducted between 2/13/26 - 3/20/26 in accordance with RFO FAR Part 10 by NHGRI and was based on:

- a. Reviewing pricing on the desired services from historical data and contacting knowledgeable acquisition and program officials in Government and industry regarding market capabilities.
- b. Knowledgeable personnel conducted market scans for services providers.
The objective was to determine whether a seamless transition could be conducted and whether a short-term contract was possible. Due to changes to HHS's procurement strategy and NIH IT centralization efforts, it was determined that conducting a competition and transitioning the security operations to a new vendor would introduce risks from a scope of work and delay/lapse perspectives.
- c. NHGRI conducted a review of market intelligence/industry analysis. They found that the IT Systems Security Services industry is a dynamic and rapidly evolving sector, driven by the increasing frequency and sophistication of cyber threats. This analysis explored the key commercial and market factors shaping the industry, including market structure, competition, services, pricing, delivery, regulatory and environmental landscape.

NHGRI concluded that market research supports issuance of a sole-source bridge contract to Richard S. Carson and Associates, Inc. under the GSA MAS. A 12-month bridge is needed to conduct a competition, support any transition to a new vendor, and avoid disruption to critical IT Systems Security Services. Richard S. Carson and Associates, Inc. is the only vendor currently capable of providing uninterrupted support because transitioning to another vendor at this time would cause unacceptable delays and could significantly harm the program due to undefined requirements that cannot be properly defined at this time.

7. Any other facts supporting the use of other than full and open competition.

None.

8. Statement of the actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services is made.

a. Removal of barriers to competition.

For reasons stated above, currently, only Richard S. Carson & Associates, Inc. can provide a continued, uninterrupted service at this time for this bridge contract. Upon conclusion of the NIH's IT Leadership consolidation planning, estimated by the end of Summer 2026, any future need for these services, beyond this bridge contract, would be procured using competitive acquisition procedures. Future requirements for IT Systems Security Services will be competitively re-competed under open market or GSA procedures based on the results of the upcoming market research, giving due consideration to small business capabilities. A new award based on this competition is anticipated prior to the expiration of the anticipated bridge contract, on April 12, 2027.

b. Listing of sources, if any, that expressed an interest, in writing, in the acquisition.

No sources expressed an interest in this continued service.

9. Ordering Activity Certification

Program office certification.

This is to certify that the portions of this justification that have been developed by the undersigned program office personnel, including supporting information and/or data verifying the Government's minimum needs, schedule requirements and other rationale for other than full and open competition, are accurate and complete.

Official	Name & Title	Signature
Project Officer	[REDACTED]	[REDACTED]
Project Officer Supervisor	[REDACTED]	[REDACTED]
Head of the Sponsoring Program Office	[REDACTED]	[REDACTED]

Contracting Officer certification.

I hereby determine that the anticipated price/cost for this contract action will be fair and reasonable and certify that this justification is accurate and complete to the best of my knowledge. I approve this sole source justification subject to availability of funds, and provided that the services and supplies herein described have otherwise been authorized for acquisition.

Official	Name & Title	Signature
Contracting Officer	[REDACTED]	[REDACTED]

OPDIV HCA Approval (required for proposed contract over \$900,000 but not exceeding \$20 million value calculated including all options):

Official	Name & Title	Signature
Head of Contracting Activity (HCA)	[REDACTED]	[REDACTED]

OPDIV Competition Advocate Approval (required for proposed contract over \$900,000 but not exceeding \$20 million value calculated including all options):

I have reviewed this justification and find that it adequately supports an exception to fair opportunity.

Official	Name & Title	Signature
OPDIV Competition Advocate	[REDACTED]	[REDACTED]